

COMPLETE
DEPENDENCE100%
LITHIUM100%
NICKEL100%
COBALT

CHINA INSIDE

INDIA'S DEPENDENCE ON CHINA FOR CRITICAL MINERALS IS GROWING AT A RAPID PACE AS ELECTRIC VEHICLES AND BATTERY ENERGY STORAGE SYSTEMS BECOME MAINSTREAM. CAN IT REMOVE THE CHOKEHOLD? BY **KARAN DHAR**



AFTER THE WEST

ASIA war reignited concerns over India's energy security, Prime

Minister Narendra Modi made an appeal to citizens: use electric vehicles more to reduce the country's fuel import bill. Indian car buyers responded by revving up demand for EVs. Sales of electric cars and scooters hit a record high in the following months.

Yet, underneath the gleaming exteriors of these electric vehicles lies a supply chain that remains deeply intertwined with that of China: most critical components—from battery cells to rare-earth magnets—are imported and built using critical minerals not available in India.

India's dependence on China for these components has grown at a rapid pace. India's lithium-ion cell imports surged 64% year-on-year to ₹41,667 crore in FY26, according

to the commerce ministry data. Imports of lithium-ion cells have gone up five-fold over the past five years. China accounted for 84% of India's lithium-ion cell imports in FY26. For rare earth minerals or magnets, the dependence is even higher at 85–90%.

India can ill-afford to rely on China, whose chokehold on its critical mineral supply chain was evident last year when it exerted its dominance in rare earth minerals by imposing curbs on magnet exports, leading to production constraints at Indian automakers.

To become self-reliant in battery cells, the government rolled out a ₹18,100-crore Production Linked Incentive (PLI) scheme for Advanced Chemistry Cells (ACC). While 40 GWh of battery cell capacity was awarded to beneficiaries, cell production has barely begun. Only Ola Cell Technologies, a subsidiary of Bhavish Aggarwal-led Ola Electric that won a 20 GWh allocation, has started

commercial operations, with 2.5 GWh capacity. It plans to scale up to 6 GWh this year.

Mukesh Ambani-led Reliance Industries, which bagged 15 GWh of cell capacity, has promised to complete its cell gigafactory by 2026. However, the conglomerate plans to assemble battery packs initially rather than getting into cell manufacturing. In its annual report, RIL said its Battery Energy Storage System (BESS) gigafactory is in advanced stages of commissioning with civil construction complete and equipment installation underway. Production is set to be ramped up through the second half of 2026, focusing on LFP (Lithium Iron Phosphate) chemistry for utility-scale BESS and mobility applications.

The other 5 GWh was awarded to ACC Energy Storage, a subsidiary of Rajesh Exports, which has been under Sebi scrutiny for inflating revenues and rerouting funds. Due to delays, no cell maker

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THE
IMPORT
BILL

► **India depends on China for critical inputs like rare earth magnets, processed minerals, battery cells and key technologies**

► **Lithium, nickel, and cobalt are used in battery cells that power electric vehicles and BESS**